

Sustainable Finance & ESG Framework – 2026

Document ID: ESG-CORP-2026-v2.1

Classification: General Corporate (Tier 2/3)

Effective Date: March 10, 2026

Status: ACTIVE

1. Framework Overview

In alignment with global net-zero commitments, the Bank has established the 2026 ESG (Environmental, Social, and Governance) Framework. This policy provides preferential interest rates to corporate borrowers who demonstrate high-level sustainability metrics.

2. ESG Credit Scoring & Rebates

Corporate clients are assigned an ESG Score from 'D' (Lowest) to 'AAA' (Highest) based on an annual independent audit.

- 2.1 General ESG Rebate: Borrowers with a verified ESG Score of 'A' or higher are eligible for a 0.25% interest rate rebate per annum on the base lending rate.
- 2.2 Eligibility Threshold: This rebate is applicable only to term loans with a minimum sanctioned amount of INR 1 Crore.

3. The 'Green-Tech' Priority Initiative

To accelerate specific climate goals, certain projects qualify for the 'Green-Tech' incentive, which offers enhanced benefits.

- 3.1 Solar Infrastructure Exception: Loans used exclusively for the installation of industrial-scale solar power plants qualify for a 0.50% interest rate rebate.
- 3.2 Rule Precedence: The Green-Tech rebate (0.50%) supersedes the General ESG Rebate (0.25%). Borrowers cannot "double-dip" or combine these rebates for the same loan facility.

4. Rebate Structure Matrix

Client ESG Score	Project Type	Rebate Amount	Requirement
'A' to 'AAA'	General Corporate	0.25%	Annual ESG Audit
Any Score	Solar Infrastructure	0.50%	Green-Tech Certificate
'B' or below	General Corporate	0.00%	N/A
'AAA'	Electric Vehicle Fleet	0.35%	Fleet Verification

5. Monitoring and Penalties

- **5.1 Quarterly Reporting:** Borrowers must submit a Sustainability Impact Report every 90 days.
- **5.2 Clawback Clause:** If a borrower's ESG score falls below 'A' during the loan tenure, the 0.25% rebate will be revoked in the following billing cycle. If a Green-Tech project is found to be non-compliant with environmental standards, the 0.50% rebate is retroactively cancelled for the previous 6 months